

Telecom Customer Churn Analysis - BI Report

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Tools: Google BigQuery (GoogleSQL) · Power BI · Microsoft Excel
Period Analysed: Q2 2022 · Region: California · Customer Base: 7,043

Executive Summary

In Q2 2022, Maven Communications lost 1,869 customers - a 26.54% churn rate costing the business \$3.68 million in revenue. This report explains who left, why they left, and what it cost us. It ends with a simple, low-cost plan to win back the customers worth saving the most.

Key Metrics

Metric	Value
Total Customers	7,043
Customers Lost (Churned)	1,869
Overall Churn Rate	26.54%
Churned Customer Revenue	\$3.68M
High Value Customers*	2,069
High Value Customers Churned	351
Churned Revenue (High Value, Annualized)**	\$403.20K
Total Retention Campaign Cost	\$52K
Retention Campaign Net ROI	\$108.93K
Share of Churn from Fiber Optic Customers	66.14% (1,236 of 1,869)
Churn Rate - No Long-Term Contract (Month-to-Month)	45.84%
Churn Rate - Two-Year Contract	2.55%
Churn Rate - First 12 Months as a Customer	47.44%
Churn Rate - 3+ Years as a Customer	11.93%

* A High Value Customer is someone who pays more than the average monthly bill and has stayed longer than the average customer - our two agreed markers of a valuable, loyal customer.

** This figure is based on their combined monthly billing projected over 12 months - a forward-looking estimate, not historical lifetime revenue.

Key Findings

1. \$1.2 Million of This Loss Could Have Been Prevented

Customers left because of poor attitude from support staff (\$0.58M) and being unhappy with the product (\$0.62M) - both things Maven can fix directly, unlike competitor pricing.

2. The Type of Contract Matters Most

Customers with no long-term contract leave at a rate of 45.84%, compared to just 2.55% for customers on Two-Year contracts. Almost 9 out of 10 customers who left had no long-term contract.

3. New Customers Leave the Most

Customers in their first year leave at a rate of 47.44%. This drops to just 11.93% after 3 or more years - the longer someone stays, the less likely they are to leave.

4. Some Services Keep Customers Around, Others Don't

Customers using Online Security or Tech Support leave much less often (about 15%) than those who don't (about 41%). Streaming services barely make a difference, showing customers don't value them the same way.

5. Certain Cities Lose More Customers Than Others

San Diego (185 lost, 49 high value) and Los Angeles (78 lost, 16 high value) have the highest losses, followed by Escondido (16 lost, 5 high value) - meaning retention efforts could focus on specific cities instead of spreading budget everywhere.

6. Most of Our Lost Customers Used Fiber Optic Internet

Out of 1,869 customers who left, 1,236 (about 66%) had Fiber Optic - a much bigger share than expected. Fiber Optic customers also leave at a much higher rate (40.72%) than Cable, DSL, or customers with no internet service, confirming this isn't just because Fiber Optic is a large part of our customer base. This could mean a problem with fiber network quality, or a competitor targeting pattern.

Business Recommendations

Marketing Department - Contract Conversion Campaign

Target Month-to-Month customers with incentivised annual plan offers. Converting even 20% to One-Year contracts could reduce churn rate from 45.84% toward 10.71%, directly protecting \$1.69M in competitor-driven revenue at risk.

Customer Service Department - Support Quality Programme

"Attitude of support person" caused 220 churns and \$404K in revenue loss - the #3 churn reason and the highest internally controllable one. A support staff retraining programme could recover this segment within one quarter.

Product & Marketing Department - Service Bundling Strategy

Bundle Online Security and Tech Support into base plans rather than premium add-ons, since these two services cut churn by nearly 3x. Proactively offer them to month-to-month or single-product customers to reduce early-tenure churn.

Retention Team - City-Targeted Campaigns

Focus retention outreach on the top churn cities (San Diego, Los Angeles, Escondido), where both overall and high-value churn are concentrated, rather than spreading budget evenly.

Network & Product Team - Investigate Fiber Optic Churn

With 66.14% of all churn coming from Fiber Optic customers - who also churn at more than double the rate of other internet types (40.72% vs 18-26%) - investigate whether this comes from network reliability issues or targeted competitor pricing at higher-bill Fiber customers, then act on the confirmed root cause.

Is Retention Worth It?

If Maven spends \$150 per customer trying to win back the 351 high value customers who left, and succeeds with 40% of them, the campaign would cost \$52K. Based on their combined monthly billing projected over the next year (\$403.20K), that success rate would recover about \$161.28K in revenue - a net profit of \$108.93K, roughly a 3x return on the money spent. This is modeled in the What-If calculator on the Retention Target page of the dashboard.

Dashboard

This report is backed by an interactive Power BI dashboard with 4 pages: a Home page to navigate, a Churn Impact page showing the scale of the problem, a Churn Reasons page showing why customers left, and a Retention Target page showing which customers to focus on with a calculator to test different offers.